

Project Report: Customer Behavior & Trends Analysis

This project analyzes consumer shopping behavior to uncover key drivers of purchasing decisions and repeat business. By leveraging a dataset of 3,900 distinct customers, this analysis identifies actionable trends across demographics, product categories, and subscription statuses to optimize future marketing and product strategies.

Key Findings

Overall Performance: The company served **3,900 unique customers**, generating an average purchase amount of **\$59.76** per transaction. Customer satisfaction remains stable with an average review rating of **3.75/5.00**.

The Subscription Gap: Only **27%** of the customer base is currently enrolled in the subscription program, leaving a massive **73%** as non-subscribers.

Category Leaders: **Clothing** is the absolute highest driver of both total revenue and transaction volume. **Accessories** is the second strongest category, while Outerwear lags significantly behind.

Demographic Drivers: The **Adult** and **Middle-Aged** demographics are the core customer base, driving the vast majority of total sales and revenue compared to Seniors and Young Adults.

Strategic Recommendations

To address the overarching business question of improving engagement and optimizing strategies, the management team should implement the following initiatives:

- **Launch a Subscription Conversion Campaign (Marketing):** Since 73% of shoppers are non-subscribers, there is a massive opportunity to increase long-term loyalty. We recommend offering a one-time "First Month Free" discount or exclusive free shipping specifically targeted at non-subscribers who buy Clothing (our most popular category).
- **Optimize Product Inventory (Product Strategy):** Because Clothing and Accessories overwhelmingly drive revenue, the purchasing department should expand these product lines. Conversely, the company should reduce inventory spending on Outerwear or heavily discount it to clear stock.
- **Targeted Demographic Engagement (Customer Engagement):** Marketing ad spend should be reallocated to focus heavily on the Adult and Middle-Aged demographics. We recommend tailoring email marketing and social media ads to highlight top-rated Clothing items for these specific age groups.